Forecasting

Predicting future business performance is necessary to estimate probable sales, income, costs, and profitability and thus gain investment and maintain confidence in the company.

How it works

Forecasting success or failure relies on historical data—financial statements, financial ratios, and Key Performance Indicators—that reflect business operation and can be tracked over time. The tracked and monitored data can provide an early warning system for potential problems. For small businesses and start-ups, accurate forecasts provide a basis for

Forecasting with Z-score models

Realizing that traditional financial ratios, such as the ratio of costs to revenue, created only a partial picture of a business's financial performance, Altman devised a set formula that combined four or five key ratios to give a Z score. The model has proven 90 percent accurate in predicting business failure over one year, and 80 percent accurate over two years.